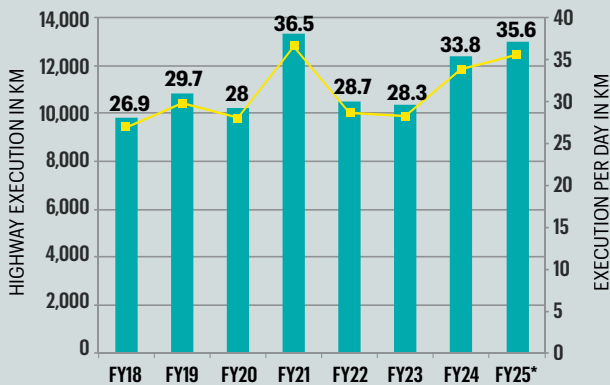


PAVING THE WAY

● Road execution to witness a growth of 5-8% in FY25 ● The EPC mode continues to be the mainstay of highway construction



● HIGHWAY EXECUTION (LHS) — PER DAY (RHS)

* EXPECTED SOURCE ICRA

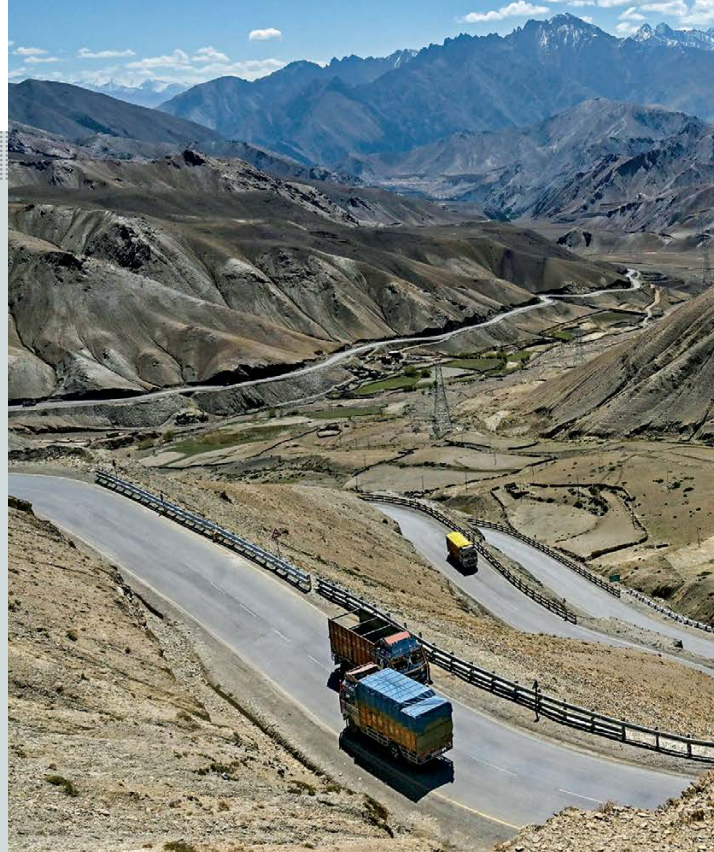


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initiative is the bullet train project. The Railways is preparing feasibility reports on six routes, and the first such train, between Mumbai and Ahmedabad, is expected to be launched by 2026.

In the freight segment, which is the revenue-making segment, the public transporter is banking on the Dedicated Freight Corridors (DFCs) to improve earnings once they are fully operational.

Sanjay Sinha, Founder & MD of construction firm Chaitanya Projects Consultancy, says, "A key transformative move is the allocation of ₹2.5 lakh crore in the Interim Budget for the modernisation of Indian Railways under the Gati Shakti programme in FY25."

Vaishnav has to keep the focus on improving the Railways' financial

health, with the operating ratio—the amount spent to earn every ₹100—remaining high.

Lalit Chandra Trivedi, a former General Manager with the Indian Railways and a sector expert, says there have been major infrastructure upgrades in the past 10 years, but without high dividends.

"The point is that despite major investment, [this] is not reflected in the elimination of waiting lists, targeted improvement in freight loading, or desired improvement in safety," says Trivedi.

HIGHWAYS

Coming to roads, Gadkari, in his third term in the ministry, plans to modernise Indian road infrastructure and is expected to focus on improving private investment and providing high-speed

highways. The government plans to invest ₹20 lakh crore on highways in the next 15 years.

Reducing accidental deaths on National Highways is an issue that is very close to Gadkari. A cashless treatment facility for accident victims is likely to be rolled out soon.

The vision is to have 50,000 km of high-speed access control highway corridors like those in developed countries by 2047. The government plans to award 3,000 km in the first 100 days.

Sorab Agarwal, Executive Director at ACE Action Construction Equipment Ltd, says the government will continue its profitable strategy of substantial infrastructure investment.

"With a stable and progressive government at the Centre, the pros-

pects for growth in both the infrastructure and manufacturing sectors are promising. The strategic allocation of ₹11,11,111 crore in the Interim Budget reaffirms the government's commitment to positioning India's infrastructure on the global stage," says Agarwal.

The ministry is also waiting for the revised cost approval from the Cabinet for the flagship Bharatmala economic corridors project. As of December 2023, as much as 26,418 km (76% of the total 34,800 km) had been awarded for construction, and about 15,500 km had been completed. But the estimated cost of the project has doubled since 2017, from ₹5.3 lakh crore to ₹10.6 lakh crore.

Another task is improving the daily highway construction rate from